depreciates with time and use or due to obsolescence while the value of wasting assets declines as a result of gradual exhaustion or reducing stock.

Auditor's Duty

The auditor should confirm in this regard, the value of the wasting assets in the Balance Sheet is reduced by the estimated amount of yearly depletion. In other words, a wasting asset appears in the Balance Sheet as its estimated diminished value.

4.6.2 Fictitious Asset



The assets which do not have physical existence are called as Fictitious Asset. Examples of fictitious assets are - Preliminary Expenses incurred at the time of formation of the company, Development Expenses, Debenture Discount, Amount spent on special advertisement campaign, Brokerage, Underwriting Commission and deferred revenue expenditure.

Auditor's Duties

1. Auditor should verify that expenses incurred are properly authorised by a responsible person.
2. He should ensure that fictitious assets are treated as deferred revenue expenditure. Deferred Revenue Expenditure means temporary capitalization of revenue expenditure with the ultimate object of spreading the amount over several future years to which benefit of such expenditure will be available.
3. The auditor should confirm that the asset is disclosed in the Balance Sheet at the amount of expenditure incurred less amount written off.

LEGAL DECISIONS

- In Kingston Cotton Mills Co., it was held that "although it is not part of an auditor's duty to value the assets and liabilities, yet he must exercise reasonable skill and care in scrutinizing the basis of valuation. He should test the accuracy of the values put by the officers of the business. In any case, the auditor cannot guarantee the accuracy of the valuation".
- The London Oil Storage Co. Ltd. Vs. Seear Hasluck and Co. (1904), it was then held that it is the duty of the auditor to verify the existence of assets stated in the balance sheet; and that he (Auditor) will be liable for any damage suffered by the client if he fails in his duty.

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